A CRITIQUE OF HOFSTEDE'S FIFTH NATIONAL CULTURE DIMENSION – TONY FANG (2003)

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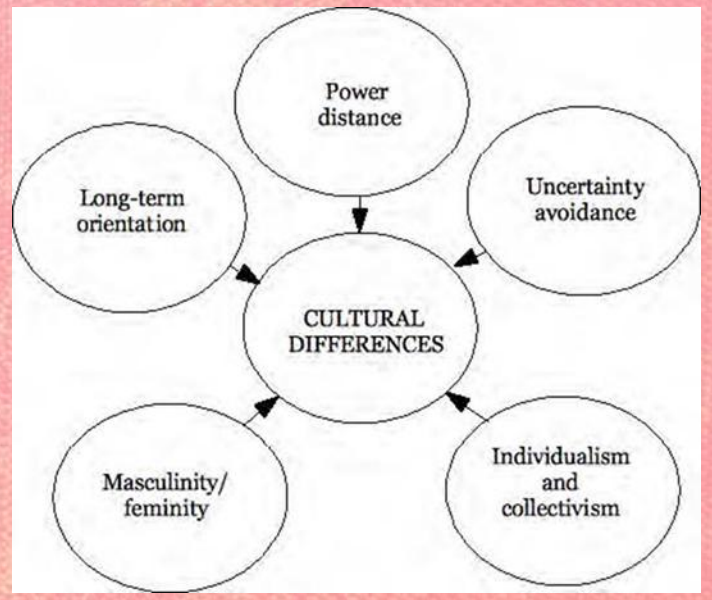
WHAT ARE HOFSTEDE'S CULTURAL DIMENSIONS?

Hofstede's Culture's Consequences (1980) is foundational and was broken up into four original dimensions:

- Power distance
- Uncertainty avoidance
- Individualism
- Masculinity

The original data collection was done in 53 countries, and the dimensions describe the average patterns of beliefs and values across the different cultures. In Cultures and Organizations (1991), 11 years later, Hofstede introduces a fifth dimension "Confucian dynamism", later reframed as "Long-Term Orientation."



CONFUCIAN DYNAMISM

- Confucian Dynamism originated from the Chinese Value Survey (CVS) conducted by the Chinese Culture Connection (1987). The survey used a list of 40 Chinese values derived from Confucian thought and was administered to student samples in 22 countries.
- Factor analysis of these values produced four dimensions, one of which was Confucian Work Dynamism. Confucian Work Dynamism did not correlate with Hofstede's original four dimensions, but it did correlate with average national economic growth rates between 1965 and 1984.
- This statistical relationship drew Hofstede's attention. Hofstede reorganised the Chinese values into a bipolar dimension contrasting long-term and short-term orientations.

Table 1 Long-term orientation (Confucian dynamism) as a fifth dimension

Long-term orientation	Short-term orientation
1. Persistence (perseverance)	1. Personal steadiness and stability
2. Ordering relationships by status and observing this order	2. Protecting your face
3. Thrift	3. Respect for tradition
4. Having a sense of shame	4. Reciprocation of greetings, favors, and gifts

Source: Based on Hofstede (1991: 165–6; 2001: 354–5)

EAST ASIAN ECONOMIC GROWTH AND CONFUCIANISM

CORRELATION OR CAUSATION?

Jian – Thrift

Thrift (*jian*) is a major characteristic of the Chinese. Hofstede and Bond (1988: 18) explain this value as follows: 'The value of "thrift" leads to savings, which means availability of capital for reinvestment, an obvious asset to economic growth' Hofstede (1991: 168). Hofstede also mentions that there is a striking contrast between the East and the West in terms of *private savings* as a share of the gross national product; and 'spending', the opposite to thrift, seems to be a value in the USA both at individual and government level. Clearly, Hofstede interprets the Chinese saving behavior as long-term oriented and the American spending behavior as short-term oriented, the former being positive and the latter negative to economic growth. Interestingly, in China, for example, many people tend to think the opposite: westerners are far-sighted: they have the guts to spend money, since spending also means, at least in part, investing in the future. Saving behavior does not automatically mean that the person who makes the saving makes a future-oriented investment.

DEEP DIVE

The division of Confucian values into good and bad, and into long term and short term fundamentally contradicts Confucian philosophy itself.

YIN YANG

- Everything contains both opposing and complementary qualities.
- Adding modifiers like 'tai’ (too much), or guofen (excessive), a value then becomes negative.
- The moment you find balance of a value, it becomes positive.

YAO MIANZI

(PROTECTING YOUR FACE)

- Self regulating moral mechanism that drives ambition in a society.
- Hofstede → short term and negative
- ‘If I cannot do a good job, they will think that Chinese people are unable to achieve. I must gain a respectful face for our Chinese people’.
- Many scholars believe that Japan's entire economic boom was fuelled by this value.

ZUNJING CHUANTONG

(RESPECT FOR TRADITION)

- Hofstede → past oriented, negative and short term
- China has a 5,000 year continuous civilisation, so how can respecting traditions for millennia be short term?
- Traditions can be constructive (stability, wisdom, cultural continuity) or destructive (rigid, stifle innovation)

WENZHONG

(PERSONAL STEADINESS AND STABILITY)

- Hofstede → short term and negative
- This value describes someone who is persistent, respects ordered relationships, thrift and has a sense of shame.
- Too little or too much Wenzhong is seen as negative as they are either unreliable or lack passion respectively.
- All about balance.

LI SHANG WANG LAI

(RECIPROCATION OF GREETINGS, FAVOURS AND GIFTS)

- Hofstede → weak, solely transactional and short term
- ‘If you honour me a foot, I will honour you ten feet in return’
- China → eat dinner with someone → one person pays →this person invited again →someone else will pay. This creates lifetime reciprocal obligations and long term relationship building.
- West → split the bill
- Which one actually enables longer term relationships?

“POSITIVE” VALUES

- Jian → Thrift (Economical use of resources)
- Naili → Perseverance
- Zun Bei You Xu → Ordering relationships by status
- Zhi Chi → Sense of shame
- Yin Yang is present in all these Confucian values, showcasing both creative and destructive potential.

WHAT CHINESE VALUES ARE BEING MEASURED?

- Hofstede's LTO is built on 40 "fundamental Chinese values"
- Even after expansion to 71 values, list still feels incomplete
- Key Chinese concepts excluded:
- Yin-Yang
- Guanxi
- Wu Wei
- Overemphasis on Confucianism, neglecting Taoist and Buddhist influences

SAMPLE SELECTION

- Original four dimensions:
- IBM employees
- 53 countries
- Fifth dimension:
- College students
- 23 countries
- Students alone are not representative of national culture

QUESTIONING CONFUCIAN DYNAMISM

- Does Confucian Dynamism really explain East Asian economic success?
- Confucianism emphasises moral development, not profit-seeking
- No clear causal link to entrepreneurship, so why use it to try and explain it?
- Political systems? Historical events? Market policies?

CONTRADICTIONS IN HOFSTEDE'S FRAMEWORK

- Hofstede treats values as opposing poles:
- Long-term vs short-term
- Positive vs negative
- Does this contradict the Chinese philosophy which the values were based on?
- Face encourages moral self-regulation, but also restricts open communication

YIN-YANG AS AN ALTERNATIVE LENS

- Fang proposes Yin-Yang as an alternative lens
- Uses "both-and" logic instead of Hofstede's "either-or" logic
- Culture is dynamic and contextual
- Rigid, binary frameworks are not well-suited for understanding culture

THANK YOU FOR LISTENING